

Document 2: Investment Guide for Indian Consumers

Target Audience: Wealth Management & Retail Investors

1. Fixed Deposits (FD) & Recurring Deposits (RD)

- **Safety:** Highest (backed by DICGC insurance up to ₹5 Lakhs).
- **Returns:** 6.50% – 7.75% p.a. (Senior citizens get an extra 0.50%).
- **Tenure:** 7 days to 10 years.

2. Mutual Funds (MF)

- **Equity Funds:** High risk, long-term growth (12–15% historical returns).
- **Debt Funds:** Low to medium risk, better than savings accounts (7–9% returns).
- **Hybrid Funds:** A mix of equity and debt for balanced growth.
- **SIP (Systematic Investment Plan):** Start investing with as little as ₹500/month.

3. Government-Backed Schemes

- **Public Provident Fund (PPF):** 15-year tenure, tax-free interest (Current Rate: 7.1%), EEE tax status.
- **National Pension System (NPS):** Retirement focused, market-linked, additional tax benefit under Sec 80CCD(1B).
- **Sukanya Samriddhi Yojana (SSY):** Specialized savings for the girl child with high interest (~8.2%).

4. Comparison Table

Instrument	Risk Level	Liquidity	Tax Status
FD	Low	High (with penalty)	Interest is taxable
Mutual Funds	High	High	Capital Gains Tax
PPF	Zero	Low	Tax-Free

Disclaimer: This document is for educational purposes only. Mutual fund investments are subject to market risks.